SAP, Blackline & the R2R Close — Hands-On

Hands-On Drills — Do the Task, Not Just Define It (India, 2026)

Step-by-step functions, T-codes, worked models and interview drills

Contents

SAP FICO Orientation & Navigation

What you'll be able to do

After this chapter you can sit at a fresh SAP session, log into a client, drive the **SAP GUI** and **Fiori launchpad** by memory, jump to any transaction using the **command field**, and read the org structure of a company the way a GCC controller reads it: Company Code → Chart of Accounts → Controlling Area → Cost/Profit Centers. You'll know which numbers live in **FI** and which live in **CO**, and you'll be able to open a GL master (FS00), a vendor/customer master, and a cost-centre master (KS01/KS03) and explain every tab. You'll also be able to tell an interviewer the real differences between **S/4HANA** and **ECC** without bluffing.

The drill — step by step

1. Log in. SAP Logon pad → double-click the system (e.g. `PRD`, `QAS`, `DEV`) → enter **Client** (3 digits, e.g. 800), **User**, **Password**, **Language** EN. A client is a self-contained data world; a GCC often has one client for the whole group and many company codes inside it.

2. Learn the command field. Top-left white box. Type transaction codes here. - `FS00` → go to that T-code in the current window. - `/n` + code (`/nFS00`) → close current, open new in same window. - `/o` + code (`/oFB03`) → open in a **new** session (window) — keep a display session open while you post. - `/nend` → log off; `/nex` → log off without the "do you want to end" popup. - `/i` → close current session. Type `SESSION_MANAGER` or just navigate the **SAP Easy Access** menu tree (Accounting → Financial Accounting → General Ledger...) if you don't know the code.

3. Read the org structure — the spine of FICO.

Object	What it is	Config T-code to view
Company Code (4-char, e.g. `1000`)	The legal entity that produces a balance sheet & P&L. Statutory books live here.	`OX02`
Chart of Accounts (e.g. `INT` / `CAIN`)	The master list of GL account numbers, shared across company codes	`OB13`
Controlling Area (e.g. `1000`)	The CO umbrella; can span several company codes if they share a COA & fiscal year	`OKKP`
Cost Center (e.g. `IT-DEL-100`)	Where cost is *collected* — a department (IT, Finance, Facilities)	`KS03`
Profit Center (e.g. `PC-RETAIL`)	Where profit is *measured* — a business line / responsibility area	`KE53`
Segment / Business Area	Reporting slices under IFRS 8 / new GL	doc splitting config

Worked example: GCC entity **1000 – Acme India Pvt Ltd**, chart of accounts **CAIN**, controlling area **1000**. IT department cost centre **IT-DEL-100** posts salary and AMC costs; profit centre **PC-SHARED** absorbs them; at month end those costs get *assessed* to the business profit centres.

4. FI vs CO — the mental split. - **FI (Financial Accounting)** = external books. Every posting hits a **GL account**, produces the statutory Balance Sheet & P&L, feeds tax and audit. Sub-ledgers: **AP** (vendors), **AR** (customers), **Asset Accounting (AA)**, **Bank**. - **CO (Controlling)** = internal management view. The *same* expense also lands on a **cost element / cost centre / internal order** so managers see cost by department and product. In S/4HANA FI and CO are merged into one line-item table (`ACDOCA` — the Universal Journal), so a P&L GL expense account **is** the cost element (cost element is now just a GL account of type "Primary Costs/Revenue").

5. Master data — open one of each.

GL master — `FS00` : enter GL account `400000` + company code `1000` . - **Type/Description** tab: Account group (e.g. P&L Expense), P&L vs Balance-sheet flag, short/long text. - **Control Data** tab: currency, tax category, **Open Item Management** (tick for clearing accounts like GR/IR, bank clearing), **Line Item Display**, Sort key. - **Create/Bank/Interest** tab: field status group (which fields are required at posting), post automatically only.

Vendor master — `BP` in S/4HANA (the single **Business Partner** transaction; ECC used `XK01/FK01`). Roles: FI Vendor (`FLVN00/01`), Purchasing. Key fields: reconciliation account (e.g. `160000` Trade Payables), payment terms, withholding tax (TDS) type/code, bank details.

Customer master — `BP` (ECC: `XD01/FD01`). Recon account `140000` , payment terms, credit control.

Cost centre master — create `KS01` , change `KS02` , display `KS03` : enter controlling area `1000` , cost centre `IT-DEL-100` , valid-from/to dates, category (e.g. `1` Administration), person responsible, hierarchy area, profit centre link.

6. Fiori. Modern S/4HANA front-end is the **Fiori launchpad** (browser). Tiles group apps by role (GL Accountant, AP Accountant). Key apps mirror GUI T-codes: **Manage Journal Entries** (≈ FB50/FB03), **Post General Journal Entries**, **Display Line Items – General Ledger** (≈ FBL3N as the app **Display Line Item, GL**), **Trial Balance**. You can still open the classic T-code inside Fiori via the "SAP GUI for HTML" tile. Search apps in the top search bar.

The output

A one-page orientation map you can reproduce blind:

```
CLIENT 800
  └─ Company Code 1000 (Acme India) ──> statutory B/S + P&L  [FI]
        Chart of Accounts: CAIN
        Controlling Area 1000  ────────> management view       [CO]
             Cost Centers: IT-DEL-100, FIN-DEL-200 …
             Profit Centers: PC-SHARED, PC-RETAIL …
Master data:
  GL      FS00   (e.g. 400000 Salaries, 160000 Trade Payables)
  Vendor  BP     (recon a/c 160000, TDS code, payment terms)
  Customer BP    (recon a/c 140000)
  Cost ctr KS01/03  (IT-DEL-100 → PC-SHARED)
Navigation: command field  /n /o ; Easy Access menu ; Fiori tiles
```

Checks & gotchas

- **Client vs Company Code confusion** is the classic rookie error — client is the login environment, company code is the legal entity. You post to a company code; you log into a client.
- A GL account must exist **at both** chart-of-accounts level and company-code level (`FS00` shows both) before you can post — "account not created in company code 1000" is a real error.
- **Open Item Management** must be ON for clearing accounts (GR/IR, bank clearing) or you can never clear them; it must be OFF for reconciliation accounts (you never post directly there).
- In S/4HANA you **cannot** use `XK01/FD01` to create vendors/customers — it redirects to `BP`. Saying "I'll create the vendor in XK01" in an S/4 shop flags you as ECC-only.
- Cost element vs GL account: in ECC they were separate objects (`KA01` to create a cost element); in S/4HANA cost elements are folded into GL master data (account type merged). Know this — it's the #1 "do you actually know S/4" question.

Interview drill

Q1. Difference between S/4HANA and ECC in Finance terms? "S/4HANA runs on the HANA in-memory column DB and merges FI and CO into one line-item table, the **Universal Journal** `ACDOCA` — one source of truth, no reconciliation between FI and CO, real-time reporting, no aggregate/index tables like BSEG/GLT0 for reporting. Business Partner replaces separate vendor/customer masters, cost elements become GL accounts, and the New Asset Accounting and material ledger are mandatory. ECC is the older ERP on a classic RDBMS with separate FI and CO totals tables that had to be reconciled."

Q2. Company Code vs Controlling Area vs Profit Centre? "Company code is the legal entity that files statutory accounts. Controlling area is the CO reporting umbrella and can group several company codes if they share the chart of accounts and fiscal year. Profit centre is a responsibility/business-line slice for internal profitability, cutting across cost centres."

Q3. Where does a salary expense land in both FI and CO? "FI: Dr Salaries GL (P&L expense), Cr Salary Payable / Bank. Simultaneously in CO the debit carries a cost object — the department cost centre — because that P&L account is a primary cost element. Month-end assessments then push the cost centre balance to profit centres."

Practise free

- **openSAP** (open.sap.com) — free MOOCs: "SAP S/4HANA Finance" and "Financial Accounting in SAP S/4HANA" give guided navigation and screenshots.
- **SAP Learning Hub / Learning Journeys** at learning.sap.com — free tutorials; some hands-on need a paid subscription, but the reading and videos are open.
- A live sandbox is the only true rehearsal: SAP offers **S/4HANA Fully-Activated Appliance** trials on SAP CAL (24-hour AWS/Azure instance, you pay only cloud compute ~₹100–300/session) and a **BTP free tier**. Third-party training servers (Michael Management, ERPPrep) rent GUI access hourly.
- Free-forever: install **SAP GUI** (free download with an SAP account) and practise *navigation muscle memory* — command field syntax, menu paths, session handling — even against a demo/idle connection, so on day one you move fast.

- Draw the org-structure map above from memory each morning until it's automatic; that single diagram answers 40% of FICO interview questions.

GL / AP / AR Transaction Drills (with Entries)

What you'll be able to do

You'll be able to post the everyday finance transactions of a company through SAP by T-code from memory, and — this is what separates an operator from a button-pusher — state the exact **Dr/Cr accounting entry with amounts** behind each posting *before* you hit save. You'll post a GL journal (FB50), a vendor invoice (FB60), a customer invoice (FB70), receive and make payments (F-28 / F-53), park for approval (FV50), display and drill into any document (FB03), read open items (FBL1N/FBL3N/FBL5N), and reverse a mistake (FB08). We'll carry one week of April transactions for **Acme India (company code 1000)** all the way through.

The drill — step by step

Setup for the example: COA `CAIN`, currency INR, period 01/2026 open. GLs: 400000 Salaries, 401000 Rent, 160000 Trade Payables, 140000 Trade Receivables, 200000 Sales, 100000 Bank, 154000 Input GST, 175000 Output GST.

1. Straight GL journal — `FB50` (Enter G/L Account Document). Screen: Document Date `05.04.2026`, Posting Date `05.04.2026`, Company Code 1000, Currency INR. Grid rows: G/L acct, D/C indicator (S=Debit, H=Credit), Amount, Cost Center (for P&L lines). *Txn A — book April rent accrued, no invoice yet:* - Row1: 401000 Rent, **S** 100,000, Cost Center FIN-DEL-200 - Row2: 240000 Rent Payable, **H** 100,000 Simulate (Shift+F9 / Document → Simulate), check the entry balances to 0, **Post (Ctrl+S)** → document number e.g. `100000123`. **Entry:** Dr Rent 1,00,000 / Cr Rent Payable 1,00,000.

2. Vendor invoice — `FB60` (Enter Incoming Invoice, FI only). Header: Vendor `V1000` (Sharma Supplies), Invoice date `06.04.2026`, Posting date, Amount `1,18,000` (incl GST), Calculate tax OFF (we post GST manually) or ON with tax code. Payment terms default from master. GL tab lines: - 402000 Office Supplies, **S** 1,00,000, Cost Center - 154000 Input CGST/SGST, **S** 18,000 The vendor line (Cr 160000 Trade Payables 1,18,000) is generated **automatically** from the vendor master's reconciliation account. **Entry:** Dr Office Supplies 1,00,000 + Dr Input GST 18,000 / Cr Vendor (Trade Payables) 1,18,000. *(For procurement with a PO + goods receipt you'd use MIRO instead — the 3-way match invoice; FB60 is the FI-only direct invoice with no PO.)*

3. Customer invoice — `FB70` (Enter Outgoing Invoice, FI only). Header: Customer `C2000` (Rao Retail), Amount `2,36,000`, invoice/posting date. GL tab: - 200000 Sales, **H** 2,00,000, Profit Center PC-RETAIL - 175000 Output GST, **H** 36,000 Customer line Dr 140000 Trade Receivables 2,36,000 is auto-generated from the customer recon account. **Entry:** Dr Customer (Trade Receivables) 2,36,000 / Cr Sales 2,00,000 + Cr Output GST 36,000.

4. Incoming payment from customer — `F-28`. Header: posting date `20.04.2026`, Bank acct 100000, Amount received `2,36,000`, Value date. Under "Open item selection": Account `C2000`, Account type D (customer). Click **Process Open Items** → the ₹2,36,000 invoice shows; double-click to *activate* it so "Not assigned" = 0.00. Post. **Entry:** Dr Bank 2,36,000 / Cr Customer 2,36,000 — and the invoice open item is **cleared** (fully applied).

5. Outgoing payment to vendor — `F-53` (Post Outgoing Payments). Header: Bank acct 100000, Amount `1,18,000`. Open item selection: Account `V1000`, type K (vendor). Process open items → activate the

₹1,18,000 invoice → Not assigned 0.00 → Post. **Entry:** Dr Vendor 1,18,000 / Cr Bank 1,18,000 — vendor open item cleared. (Bulk/automatic payments use the payment run **F110**.)

6. Park for approval — `FV50` (park GL) / `FV60` (park vendor). Use when a junior enters but a senior must approve. Same screen as FB50 but you **Park (document not yet posted, no GL update)**. Approver opens `FBV0` to display/post parked docs, or `FV50` change → Post. Nothing hits the ledger until posting.

7. Display line items — the reading tools. - `FBL1N` — Vendor line items (open/cleared/all). Filter V1000, "Open items at key date". - `FBL3N` — GL line items. Filter 100000 Bank to see every movement. - `FBL5N` — Customer line items. Filter C2000. (These are the ECC classics; the S/4 apps are "Display Line Items – General Ledger/Supplier/Customer". FAGLL03 is the new-GL GL line item report.)

8. Display any document — `FB03`. Enter document number 100000123 / company code / fiscal year → see header, all line items, and via Environment → Document Environment the FI/CO postings.

9. Reverse — `FB08` (Individual Reversal). Enter the wrong document number, reversal reason (e.g. `01` reversal in current period, `02` reversal in closed → posts in current), posting date. Post → SAP creates a mirror document with debits/credits flipped and links the two. Mass reversal = `F.80`.

The output — Acme April sub-ledger picture

Doc	T-code	Dr	Cr	Amount
123	FB50	Rent 401000	Rent Payable 240000	1,00,000
124	FB60	Office Supp + Input GST	Vendor V1000 (160000)	1,18,000
125	FB70	Customer C2000 (140000)	Sales + Output GST	2,36,000
126	F-28	Bank 100000	Customer C2000	2,36,000
127	F-53	Vendor V1000	Bank 100000	1,18,000

Vendor V1000 open items after: **0** (invoice cleared by pmt). Customer C2000: **0**. Bank net movement: +2,36,000 − 1,18,000 = **+1,18,000**. GST: Input 18,000, Output 36,000 → net payable 18,000.

Checks & gotchas

- **Every document must balance to zero** by company code and (with document splitting) by profit centre/segment — SAP won't post otherwise.
- Don't post directly to a **reconciliation account** (160000/140000) via FB50 — it's controlled only through the vendor/customer line. Trying gives "account is a reconciliation account, not allowed for direct posting."
- **Posting date drives the period**, not document date. Wrong posting date = wrong month = restated close.
- After F-28/F-53 confirm the item shows as **cleared** in FBL5N/FBL1N (clearing doc number populated). A payment that doesn't clear the invoice leaves *two* open items (a debit and a credit) — the classic "why is AR overstated" bug.
- FB60 vs MIRO: FB60 has no PO/GR match; using it where a PO exists breaks the 3-way match and leaves GR/IR dangling.

- FB08 with reason 01 fails if the original period is closed — use reason 02 to post the reversal in the current open period.

Interview drill

Q1. Walk me through a vendor invoice-to-pay in SAP. "PO in ME21N → goods receipt MIGO (Dr GR/IR clearing, Cr stock/expense) → invoice receipt MIRO doing the 3-way match PO-GR-Invoice (Dr GR/IR, Dr Input GST, Cr Vendor) → payment F110/F-53 (Dr Vendor, Cr Bank). For a non-PO/FI-only invoice I skip to FB60. I'd verify GR/IR nets to zero and the vendor open item clears on payment."

Q2. What's the entry behind F-28 and how do you know it worked? "Dr Bank, Cr Customer, with the specific invoice selected as an open item so it's applied, not just a cash receipt on account. It worked when FBL5N shows the invoice as cleared with a clearing document, and 'not assigned' was 0.00 at posting."

Q3. FB08 vs a manual reversing entry — why prefer FB08? "FB08 keeps a linked audit trail (original ↔ reversal), uses the correct reversal reason for period handling, and avoids fat-finger errors from re-keying. A manual opposite entry breaks that linkage and audit clarity."

Practise free

- **Excel sub-ledger simulator:** build a journal sheet with columns Doc, Date, GL, Dr, Cr, Party; a `SUMIF` trial balance; and separate vendor/customer tabs with an "open/cleared" flag. Re-post the April set above and reconcile — that *is* the FBL1N/FBL5N logic by hand.
- Post the same five transactions in **Tally** (you already know it) and note how SAP's recon-account/open-item model differs from Tally's ledger posting — great interview colour.
- **SAP CAL S/4HANA trial** or a rented training server: actually key FB50/FB60/FB70/F-28/F-53/FB08 once end-to-end; muscle memory beats theory.
- openSAP "Financial Accounting in SAP S/4HANA" has guided posting exercises with screenshots you can shadow even without a live system.

The Month-End Close in SAP

What you'll be able to do

You'll be able to run — and explain — a full FI month-end close in SAP: post and auto-reverse accruals, set up recurring entries, clear GR/IR, run foreign-currency revaluation, execute the depreciation run, push cost-centre costs through allocations/assessments, open and close posting periods safely, and produce the financial statements from a Financial Statement Version. Most importantly you'll be able to hand an interviewer a **working-day-by-working-day (WD1–WD5) close calendar mapped to exact T-codes**, which is what a GCC R2R team actually lives by.

The drill — step by step

We close **period 04/2026 (April)** for company code 1000.

1. Cut-off & open the new period — `OB52` (Posting Period Variant). `OB52` maintains per account-type (S=GL, D=customer, K=vendor, A=asset, M=material) the *from/to* period allowed. Standard practice: keep period 04 open only for the close team (authorisation group), open 05 for operations. At the very end you *close 04* by moving the lower period to 05.

2. Accruals — `FBS1` (Enter Accrual/Deferral Document). For expenses incurred but not invoiced (e.g. April electricity ₹40,000). `FBS1`: posting date `30.04.2026`, **Reversal reason `05`** and **reversal date `01.05.2026`**. - Dr 403000 Power & Fuel 40,000 (cost centre) / Cr 240100 Accrued Expenses 40,000. On WD1 of May you run `F.81` **(Reverse Accrual/Deferral Documents)** which auto-reverses every FBS1 doc dated for reversal — so the accrual self-cancels when the real invoice arrives. (The S/4 "Accrual Engine" ACEDT is the newer, schedule-based alternative.)

3. Recurring entries — `FBD1` (define) → `F.14` (post). For fixed monthly postings (rent ₹1,00,000). `FBD1`: first run 30.04.2026, last run 31.03.2027, interval 1 month, the template entry Dr Rent / Cr Rent Payable. Nothing posts yet — it's a template. Each month `F.14` (with batch input session run via `SM35`) generates the actual document. Manage/delete via `F.15`.

4. GR/IR clearing — `MR11` and `F.13`. GR/IR (goods-received/invoice-received, acct 191100) holds the timing gap between MIGO and MIRO. `F.13` **(Automatic Clearing)** nets off GR and IR lines that match (same PO, qty, value) → they clear to zero. Genuine mismatches (goods received, invoice never came, or vice-versa) are cleared/written off with `MR11` **(GR/IR Account Maintenance)**. Target: GR/IR aged report shows only in-transit, explainable items.

5. Foreign-currency revaluation — `FAGL_FCV` (New GL) / older `F.05`. Open items and balances in USD/EUR must be restated at month-end closing rate. Load rates in `OB08` first. `FAGL_FCV`: company code 1000, valuation key date 30.04.2026, valuation area, run in **test** then **update**. - Unrealised gain: Dr FC Open Item (adjustment acct) / Cr 415000 FX Gain (unrealised). - Loss: Dr 415100 FX Loss / Cr adjustment. By default the New-GL run posts a reversal on 01.05 (valuation is provisional until the item is actually settled).

6. Asset depreciation run — `AFAB` (Post Depreciation). Company code 1000, period 04/2026. First run of the month = "Planned posting run"; corrections = "Repeat/Unplanned". Test first. Posts: - Dr 410000 Depreciation Expense (cost centre) / Cr 020100 Accumulated Depreciation. Check via asset explorer `AW01N`. (S/4 uses `AFAB` still, or the Fiori "Post Depreciation" app; New Asset Accounting posts to all ledgers in real time.)

7. CO allocations — assessment `KSU5`, distribution `KSV5`. Shared-service cost centres (IT-DEL-100) must be pushed to receiving business cost/profit centres. - **Distribution (`KSV5`)** keeps the *original* primary cost element (e.g. still shows as Salaries on the receiver). - **Assessment (`KSU5`)** uses a *secondary* assessment cost element (e.g. 9AS100) and hides the primary detail — cleaner for management reporting. Define the cycle, run in test, then post. IT cost centre balance → 0 after allocation; business centres absorb the cost.

8. Reconciliations. Sub-ledger to GL: **AP** (FBL1N/S_ALR reports) = GL Trade Payables 160000; **AR** = 140000; **Assets** (`ABST2` / `AJAB` year-end) = GL. Bank GL 100000 vs bank statement (feeds Blackline — next chapter). Intercompany balances confirmed.

9. Close the period — `OB52` move GL/sub-ledger periods to 05 so April is locked. CO period lock via `OKP1`.

10. Financial statements — `F.01` / `S_ALR_87012284` using a Financial Statement Version (FSV). The **FSV** (config `OB58`, e.g. `INT` / `CAIN`) is the hierarchy that maps every GL account into Balance Sheet and P&L line items. Run `F.01` (or S/4 `FAGLB03` for GL balances, and the Fiori "Balance Sheet/P&L" app) for company code 1000, period 04, ledger 0L → the statutory-format B/S and P&L.

The output — WD-by-WD close calendar

WD	Activity	T-code
WD-1	Reverse prior-month accruals	F.81
WD1	Open/restrict periods; post recurring	OB52, F.14
WD1	Sub-ledger cut-off; last AP/AR postings	FB60/FB70
WD2	Accruals & provisions	FBS1
WD2	GR/IR review & clearing	F.13 / MR11
WD3	FX revaluation	FAGL_FCV (OB08 rates)
WD3	Depreciation run	AFAB / AW01N
WD4	CO assessments/distributions	KSU5 / KSV5
WD4	Sub-ledger↔GL recons; intercompany	FBL1N/3N/5N
WD5	Close period; lock CO	OB52 / OKP1
WD5	Trial balance, FSV, B/S & P&L	F.01 / FAGLB03

Result artefact — an April trial balance that ties, sub-ledgers agreeing to their recon GLs, GR/IR aged and clean, FX restated at closing rate, depreciation booked, shared costs allocated, and a signed-off B/S + P&L in FSV format.

Checks & gotchas

- **Accruals with no reversal date** double-count when the real invoice posts — always set the FBS1 reversal reason/date and run F.81 next month.
- Running **AFAB** in the wrong mode (planned vs repeat) either skips assets or posts nothing — always test-run and check the log first.

- **FX rates not loaded in OB08** → FAGL_FCV values everything at 1:1 or errors. Load closing rates before running.
- Closing the period in OB52 **before** all late postings are in blocks the team — coordinate the exact lock time; leave a close-team authorisation group open.
- **Assessment vs distribution** chosen wrong distorts management reports — distribution preserves the primary cost element, assessment masks it under a secondary one.
- Sub-ledger ≠ GL means a **broken reconciliation account** or a direct GL posting to a recon account — investigate before signing the TB.

Interview drill

Q1. Walk me through your SAP month-end close. "Reverse prior accruals (F.81), open/restrict periods (OB52), post recurring (F.14) and accruals (FBS1), clear GR/IR (F.13/MR11), revalue FX (FAGL_FCV), run depreciation (AFAB), do CO assessments (KSU5), reconcile every sub-ledger to its recon GL, close periods (OB52/OKP1), then produce the trial balance and the B/S/P&L via the Financial Statement Version (F.01/FAGLB03). I map it to a WD1–WD5 calendar with owners and dependencies."

Q2. Distribution vs assessment in CO? "Both move cost from sender to receiver cost objects. Distribution (KSV5) posts using the original primary cost element, so the receiver still sees 'salaries'. Assessment (KSU5) uses a secondary assessment cost element and summarises — better for management view but you lose the primary breakdown."

Q3. How does GR/IR clearing work and why does it matter? "GR/IR is the interim clearing account between goods receipt and invoice receipt. F.13 auto-clears matched GR/IR pairs; MR11 handles genuine quantity/value mismatches. A dirty GR/IR overstates payables or accruals and is an audit red flag, so it's reviewed and aged every close."

Practise free

- **Excel close pack:** build a 6-tab close — accruals (with an auto-reverse column dated next month), recurring template, GR/IR aging, FX reval (balance × closing rate − book value = gain/loss), a depreciation schedule (WDV/SLM), and a cost-allocation matrix. Running these teaches the *logic* each T-code automates.
- Replicate an **FSV** as an Excel mapping table: GL account → B/S or P&L line → subtotal — then `SUMIF` a trial balance into statements. That's exactly what OB58/F.01 do.
- **openSAP** "Financial Close with SAP S/4HANA" and SAP's Financial Closing cockpit (`CLOCO`) docs walk the sequence; the videos are free.
- On an **SAP CAL trial**, run FBS1→F.81, AFAB in test, and F.01 once — even a single dry run makes the calendar real in interviews.

Blackline Account Reconciliation Workflow (End to End)

What you'll be able to do

You'll be able to run the balance-sheet reconciliation process the way a modern GCC/shared-services R2R team runs it — in **BlackLine** — end to end: understand how SAP GL balances flow in, prepare a reconciliation with reconciling items, attach evidence, route it through **preparer → reviewer → approver**, apply **auto-certification** and **transaction matching**, raise a **journal** for a true-up, manage **tasks/SLA/aging**, and read the **variance/risk** dashboards. You'll do a worked bank-vs-GL recon with real reconciling items, and you'll be able to replicate the exact control in Excel for free.

The drill — step by step

What BlackLine is: a cloud "financial close" platform that sits *on top of* the ERP. It doesn't replace SAP — it imports SAP GL balances and transactions, then governs the *certification* of every balance-sheet account. Core modules: **Account Reconciliations**, **Transaction Matching**, **Task Management**, **Journal Entry**, **Variance Analysis**. Trintech (Cadency/Adra) and Oracle ARCS are the main alternatives; the workflow concept is identical.

1. Data in — the GL balance feed. BlackLine imports two things from SAP: the **trial balance** (GL account balances per company code/period, e.g. via a scheduled flat-file or SAP connector) and, for matching, **transaction detail** (GL line items, bank statement lines). Each SAP GL account is mapped to a BlackLine **account** with an assigned **preparer, reviewer, risk rating, and template type**.

2. Auto-certification rules. Low-risk, low-value, or zero-balance accounts don't need a human every month. Rules such as "*balance = 0*", "*balance unchanged from prior period*", or "*balance < ₹50,000 threshold*" auto-certify the account and stamp it complete — the preparer only touches exceptions. This is the single biggest efficiency lever; know it cold.

3. Choose the template & prepare. For an account needing work (say **Bank GL 100000**), open the recon. Template types: - **Account Analysis** — you list what makes up the balance. - **Balance Comparison** — GL balance vs an external source (bank statement, sub-ledger). - **Roll-forward** — opening + activity − closing (accruals, prepaids, fixed assets). For the bank recon use **Balance Comparison**: on one side the **GL balance** (from SAP), on the other the **source balance** (bank statement). BlackLine computes the **difference**, which you must fully explain with **reconciling items**.

4. Transaction Matching (auto-match). Before manual work, the Matching module pairs GL bank lines to bank-statement lines on rules (amount + date + reference). Matched items drop out; only **unmatched** items remain as candidate reconciling items — the automated bank-rec engine.

5. Enter reconciling items. For each unexplained difference add an item: type (timing / error / in-transit), amount, description, GL date, aging start, and **supporting document** (upload the bank statement PDF, the SAP FB03 screenshot). Flag items needing a correction for a **journal**.

6. Raise a journal if needed. If the recon reveals a real GL error (e.g. bank charges never booked), create a BlackLine **Journal Entry** (Dr Bank Charges / Cr Bank) that, on approval, is exported back to SAP for posting (or posted directly via connector). The reconciling item then clears next period.

7. Certify & route — the three-role flow. - **Preparer** completes the recon, ticks that reconciling items are supported and aged appropriately, and **submits**. - **Reviewer** checks quality, evidence, and item validity → **approves** or **rejects with comment** (back to preparer). - **Approver** (often a controller for high-risk accounts) gives final sign-off. Every action is timestamped with the user — a full **audit trail** (who prepared, reviewed, approved, when, with what evidence).

8. Task Management & SLA/aging. The whole close (not just recons) runs as scheduled **tasks** with owners, due dates by working day, and dependencies — a digital close calendar. **SLA/aging**: reconciling items carry an age; items older than policy (e.g. >60 or >90 days) escalate and hit the **risk dashboard**. Overdue recons flag red for management.

9. Variance / risk dashboards. Variance Analysis auto-flags accounts whose balance moved beyond a threshold (absolute or %) vs prior period and demands an explanation. Management sees a heat-map: % of accounts certified, overdue, high-risk, aged items — the close scorecard.

The output — worked Bank vs GL reconciliation (Bank GL 100000, April 2026)

	Amount (₹)
GL balance (SAP, 30.04.2026)	11,80,000
Bank statement balance	12,10,000
Difference to explain	(30,000)

Reconciling items:

#	Item	Type	Amount (₹)	Evidence	Age (days)
1	Cheque issued to vendor, not yet cleared bank	Timing (o/s cheque)	−50,000	FB03 doc 127	8
2	Customer NEFT received, not yet in GL	Timing (deposit in transit)	+18,000	Bank stmt line	3
3	Bank charges on statement, not booked	Error → journal	+2,000	Bank stmt	2
	Net reconciling items		**−30,000**		

Tie-out: GL 11,80,000 − 50,000 + 18,000 + 2,000 = **12,10,000** = bank balance. Difference fully explained → recon certifiable. Item 3 spawns Journal `Dr 404000 Bank Charges 2,000 / Cr 100000 Bank 2,000` exported to SAP; items 1 & 2 self-clear when the cheque clears and the NEFT posts.

Certification trail: *Prepared — A.Rao 02-May 10:14; Reviewed — S.Iyer 03-May 09:40; Approved — Controller 03-May 16:20.*

Checks & gotchas

- **The recon isn't done when the difference is small — it's done when every rupee of difference is explained by a supported reconciling item.** An unexplained residual, even ₹100, fails review.

- **Aged reconciling items** are the real risk: a "timing" item still open after 90 days usually isn't timing — it's an error or a missed write-off. Auditors go straight to the aging report.
- **Auto-certification thresholds** set too loose let real movements slip through uncertified — the balance/threshold rules must be defensible to audit.
- **BlackLine journals must actually post in SAP** — a journal approved in BlackLine but not exported/posted leaves BlackLine and SAP out of sync; confirm the SAP document number.
- **Segregation of duties**: preparer ≠ reviewer ≠ approver. Same person on two roles breaks the control and is an audit finding.
- Balance comparison uses the **period-end** GL and bank balances at the **same date** — mixing a 30-Apr GL with a 2-May bank balance manufactures fake reconciling items.

Interview drill

Q1. How does BlackLine tie to SAP? "BlackLine imports the SAP trial balance and transaction detail each period; each GL account maps to a BlackLine reconciliation with an owner and risk rating. We certify the SAP balance is correct and supported; corrections are raised as BlackLine journals exported back to SAP. It governs the close on top of SAP — it doesn't replace the ledger."

Q2. What is auto-certification and why is it safe? "Rule-based sign-off for low-risk accounts — zero balances, unchanged balances, or balances under a threshold certify automatically so humans focus on exceptions. It's safe when thresholds are risk-calibrated and documented, and high-risk or materially-moved accounts are always excluded from auto-cert and force manual review."

Q3. A reconciling item is 120 days old — what do you do? "Investigate root cause — an aged 'timing' item usually isn't timing. If it's an error, raise a correcting journal; if it's unrecoverable, write it off with approval; then fix the process so it doesn't recur. I'd never let it keep rolling — it's a control and audit red flag on the aging dashboard."

Practise free

BlackLine has no free tier, but the **control is fully replicable in Excel** — and doing so proves you understand it better than clicking buttons: - **Recon workbook:** one tab per account. Columns: GL balance, source balance, difference, then a reconciling-items table (type, amount, evidence link, aging-start date, `=TODAY()-start` for age). A cell check `=GL - source - SUM(items)` must equal **0** to certify. - **Auto-cert logic:** `=IF(OR(bal=0, bal=priorbal, ABS(bal)<50000), "Auto-Certified", "Manual")`. - **Workflow columns:** Preparer / Reviewer / Approver names + date stamps, with conditional formatting red when overdue vs a due-date column — mimics task management and SLA. - **Aging dashboard:** a pivot of reconciling items bucketed 0–30 / 31–60 / 61–90 / 90+ with a red flag on the last bucket. - **Transaction matching:** two lists (GL lines, bank lines), match on amount+date with `XLOOKUP`/Power Query merge; the unmatched rows are your reconciling items — exactly BlackLine's engine. Do this once against the April bank recon above and you can speak to every BlackLine screen from real experience. BlackLine and Trintech both publish free product demos and webinars (blackline.com, trintech.com) — watch two to learn the exact button names.

Intercompany & the Consolidation Submission (SAP BPC / Group Reporting)

What you'll be able to do

After this chapter you can explain — and walk an interviewer through — how a group with 40+ legal entities turns entity-level trial balances into **one consolidated financial statement**: how intercompany (IC) balances are matched and eliminated, how a foreign subsidiary's numbers get translated into the group currency, what a "BPC submission" actually is at the button level, and what a consolidation elimination journal or minority-interest calculation looks like. This is the exact domain the Dentsu "BPC Analyst" JD asks for ("intercompany matching, elimination, currency translation, monthly group submission in SAP BPC"). Be honest in interviews: the *hands-on clicking* needs employer access — but the **logic** is fully learnable, and that logic is what gets tested.

The drill — step by step

Consolidation runs on a **hierarchy**. Learn the vocabulary first because every tool (SAP BPC, SAP Group Reporting/S4HANA, Oracle HFM/FCCS) uses the same shape, only different button names.

The reporting hierarchy (dimensions): - **Entity** — each legal entity submits (e.g. IN01 India, GB01 UK, US01 US). Entities roll up to sub-groups → group total. - **Account** — the group chart of accounts (mapped from each entity's local GL). - **Time** — 2026.07 (period). - **Category / Version** — Actual, Budget, Forecast. - **Flow / Movement** — opening, additions, disposals, closing (needed for FX and fixed-asset roll-forwards). - **Intercompany (Trading Partner)** — *who* the balance is with. This is the dimension that makes elimination possible.

Step 1 — The package / submission. Each entity's controller loads its trial balance into BPC (the "**data package**" — an upload from SAP ECC/S4 via a data manager package, or a manual input schedule in EPM add-in for Excel). The controller runs **validation** (does the local TB balance to zero? do control accounts tie?) and then **submits/locks** the entity for the period. "Doing the BPC submission" = load → validate → run currency translation → confirm IC → lock. That's the monthly ritual.

Step 2 — Currency translation. A foreign sub reports in local currency; the group reports in, say, INR or USD. Apply the standard (IAS 21 / current-rate) method: - **P&L** items → **average rate** for the month. - **Assets & liabilities** (balance sheet) → **closing rate**. - **Equity / share capital** → **historical rate**. - The plug that makes the translated balance sheet balance is booked to **Currency Translation Adjustment (CTA)** / FCTR in equity (OCI).

Worked example — UK sub GB01, month 2026.07:

Item	GBP	Rate	INR (₹)
Revenue	1,000,000	105 (avg)	105,000,000
Net assets (BS)	500,000	106 (close)	53,000,000
Share capital	200,000	100 (hist)	20,000,000

The difference between the closing-rate net assets and the historical-rate equity + retained earnings flows to **CTA in equity**. BPC does this with a **rate table** + a translation logic script; you just load rates and hit "Run Currency Translation."

Step 3 — Intercompany matching. GB01 sold services to IN01. GB01 books **IC Receivable ₹8,00,000 (TP = IN01)**; IN01 books **IC Payable ₹8,00,000 (TP = GB01)**. The **IC matching report** pairs them by trading partner and flags **mismatches** (timing, FX, one side missed the invoice). Chasing and clearing those mismatches before lock is the analyst's real job — a ₹5,000 gap between the two sides holds up the whole consolidation.

Step 4 — Elimination. Once matched, the system posts **elimination entries** at the group level so intragroup items don't inflate the group: - **IC receivable** ↔ **IC payable** → eliminate. - **IC revenue** ↔ **IC cost** → eliminate. - **IC profit in closing inventory** (unrealised profit) → eliminate. - **Investment in subsidiary** ↔ **subsidiary's share capital** → eliminate at acquisition, recognise **goodwill** on the difference.

Step 5 — Minority / non-controlling interest (NCI). If the group owns 80% of a sub, 100% of the sub is consolidated line-by-line, then **20% of the sub's net assets and 20% of its profit are carved out to NCI**. Example: sub profit ₹1,00,00,000 → NCI ₹20,00,000 shown separately in equity and in the P&L split.

Step 6 — Group reports. Run the consolidated P&L, BS, and the movement/flow reports; controllers review; the submission is signed off and the group set is locked.

The output

A consolidation elimination journal (group level, 2026.07):

Line	Account	Entity	Trading Partner	Dr (₹)	Cr (₹)
1	IC Payable	IN01	GB01	8,00,000	
2	IC Receivable	GB01	IN01		8,00,000
3	IC Revenue	GB01	IN01	8,00,000	
4	IC Cost of services	IN01	GB01		8,00,000

NCI carve-out (80%-owned sub, profit ₹1,00,00,000):

Description	₹
Sub net profit (100% consolidated)	1,00,00,000
Attributable to parent (80%)	80,00,000
Non-controlling interest (20%)	**20,00,000**

Plus a translated, eliminated, consolidated set: Group Revenue, Group EBIT, Group Net Profit split parent/NCI, and CTA sitting in OCI.

Checks & gotchas

- **IC must net to zero after elimination.** If group IC receivables ≠ IC payables, a mismatch is unresolved — the classic close-blocker.

- **Translation gotcha:** using closing rate on the P&L (should be average) or average on the balance sheet is the most common error; CTA absorbs the mistake silently, so the balance still "balances" while being wrong.
- **Flow dimension:** FX movement and asset roll-forwards break if opening + movements ≠ closing.
- **Investment elimination** must use the *acquisition-date* rate for goodwill, not the current rate.
- **Rounding:** consolidated statements are often in thousands/millions — rounding differences need a defined tolerance, not manual fudging.
- **Locked periods:** once submitted and locked, changes need a **re-open + re-submit**, which is audited.

Interview drill

Q: What's the difference between elimination and translation? A: Translation converts a foreign entity's local-currency numbers into the group currency (P&L at average, BS at closing, equity at historical, difference to CTA in OCI). Elimination removes *intragroup* transactions and balances (IC receivable/payable, IC revenue/cost, investment vs share capital, unrealised profit) so the group isn't double-counting internal activity. They're sequential: translate each entity first, then eliminate at group level.

Q: How is minority/non-controlling interest handled in consolidation? A: For a partly-owned subsidiary you still consolidate 100% of assets, liabilities, income and expenses line-by-line (control, not ownership %, drives consolidation). Then you carve out the non-controlling shareholders' share of net assets and of profit — say 20% for an 80%-owned sub — presented separately within equity and as a split of profit for the year.

Q: Walk me through a BPC monthly submission. A: Load the entity trial balance via the data manager package (or EPM Excel input), run validation to confirm it balances and control accounts tie, load rates and run currency translation, review the IC matching report and clear mismatches with counterparties, submit and lock the entity. At group level, controllers run eliminations, review the consolidated set, and lock the group version.

Practise free

You can't get a free SAP BPC tenant, so **rebuild the logic in Excel** — which is exactly how many analysts prototype anyway: - Build three entity tabs (IN01, GB01, US01), each a mini trial balance with a **Trading Partner** column. - A **rates tab** (avg/closing/historical); use `SUMPRODUCT`/lookup to translate each entity to a group-currency tab; plug the difference to a CTA line. - An **IC matching tab**: `SUMIFS` each entity's IC receivable against the counterparty's IC payable, flag non-zero gaps with conditional formatting. - An **elimination tab** that posts the reversing group journals, then a **consolidation tab** = sum of entities + eliminations, with an NCI carve-out row. - Free reading to ground the vocabulary: **IAS 21** (translation), **IFRS 10** (consolidation/control), **IFRS 3** (goodwill/NCI) — the ICAI Advanced Accounting module and the IFRS Foundation summaries are free. Oracle's public **FCCS/HFM** admin guides describe the same package/journal/elimination flow if you want a second vendor's vocabulary.

Balance-Sheet Review, Commentary (BS Calls) & SOX Evidence

What you'll be able to do

After this chapter you can run a **flux (variance) analysis** on a balance sheet and P&L, write the **commentary** that gets read aloud on a monthly "BS review call", triage and clean up **aged reconciling items**, and justify **provisions/accruals** with real drivers. You'll also be able to speak **SOX / J-SOX** fluently: what a **RCM (Risk & Control Matrix)** is, what counts as **control evidence**, how **preparer/reviewer sign-off** works, and what a **control deficiency** is. This maps directly onto the Dentsu (J-SOX) and HP (SOX) R2R JDs, both of which list "balance-sheet reviews, flux commentary, SOX control evidence" as core duties.

The drill — step by step

Step 1 — Pull the two-period balances. For each BS account, get current-month closing and prior-month (and often prior-year and budget) balances. In SAP that's **FS10N** (GL balance display) or **FBL3N** (line items); export to Excel.

Step 2 — Compute the flux. Add columns: **₹ change** and **% change**. Apply a **materiality threshold** — a common rule is *explain any movement > ₹5,00,000 AND > 10%* (dual threshold so you don't chase tiny-base swings). Flag every breach.

Worked example — Accrued Expenses:

Account	Jun-26	Jul-26	Δ ₹	Δ %	Explain?
Accrued marketing spend	42,00,000	68,00,000	+26,00,000	+62%	Yes
Prepaid insurance	9,00,000	8,25,000	−75,000	−8%	No
IC receivable – GB01	8,00,000	8,00,000	0	0%	No

Step 3 — Find the driver, not the number. Don't write "accruals went up ₹26L." Open **FBL3N**, sort by posting date, and identify *what* posted: e.g. a Q3 brand-campaign accrual of ₹28L raised, partly offset by ₹2L of June accruals reversing. Now you have a *reason*.

Step 4 — Test the account against its reconciliation. Tie the GL balance to the supporting recon (from the Blackline chapter). Check the **aging** of open reconciling items:

Item	Amount ₹	Age (days)	Status	Action
Unidentified bank credit	1,20,000	95	Aged >90d	Escalate, likely customer receipt to apply
GR/IR mismatch PO 45001	3,40,000	22	Open	Chase goods receipt
Duplicate accrual	60,000	130	Aged	**Write off — reverse**

Aged items (>90 days) are a red flag on BS calls; the drill is *clean them up*, not just report them.

Step 5 — Justify provisions & accruals. For each, state (a) the driver, (b) the calculation basis, (c) evidence. Example — bad-debt provision: "ECL model, 5% on >180-day receivables = ₹12,00,000; supported by the aged debtors report dated 31-Jul-26." A provision without a documented basis fails both the BS review and SOX.

Step 6 — Write the commentary. One tight paragraph per flagged account: *what moved, by how much, why, and whether it's expected/one-off/reversing.* This is what you read on the call.

Step 7 — SOX evidence for the control. The BS review *is itself a SOX control* ("Management review of balance-sheet reconciliations, monthly"). To evidence it: - **Preparer** signs/dates the recon and flux. - **Reviewer** (independent, more senior) signs/dates, with review notes. - Attach the source reports (FBL3N export, aging, bank statement) as evidence. - Map the control to the **RCM**: risk → control → frequency → owner → evidence.

The output

A sample BS-call commentary (what actually gets circulated):

> **Account: Accrued Expenses (2100100) — Jul-26** Balance ₹68,00,000, up ₹26,00,000 (+62%) MoM. **Driver:** ₹28,00,000 accrual raised for the Q3 brand campaign (IO #4471, media plan approved 5-Jul), partly offset by ₹2,00,000 June accruals reversing on invoice receipt. Movement is **expected and one-off**; accrual will reverse on vendor invoicing in Aug–Sep. **Recon:** tied to accrual schedule v3, no unexplained items. **Aged items:** one duplicate accrual of ₹60,000 (130 days) identified — reversing this period. Prepared: A. Rao 4-Aug; Reviewed: S. Mehta 5-Aug.

A slice of the **RCM (Risk & Control Matrix):**

Risk	Control	Type	Freq	Owner	Evidence
BS balances misstated	Monthly recon prepared & independently reviewed	Detective	Monthly	R2R Lead	Signed recon + flux
Unauthorised journals	JE approval workflow before posting	Preventive	Per JE	GL Accountant	FB03 + approval log
Aged items not cleared	>90-day items escalated to controller	Detective	Monthly	Controller	Aging report + email

Checks & gotchas

- **Flux without a driver is worthless** — "up 62%" is not commentary; the *why* is.
- **Dual threshold** matters: a ₹4,000 account can swing 300% and mean nothing; a ₹2cr account can move 3% and be huge.
- **Sign-off dates must be after the close date and preparer ≠ reviewer** — same person on both is an instant SOX deficiency (segregation of duties).
- **Evidence must be dated and version-controlled**; "I reviewed it" verbally is not evidence.
- **Aged items you keep re-explaining** each month is the tell that clean-up isn't happening — auditors notice repeats.
- **Provisions must have a policy basis**; a round-number "management estimate" with no calc is a finding.

Interview drill

Q: What is flux analysis and how do you decide what to explain? A: Flux (fluctuation/variance) analysis compares each account's current balance to a baseline — prior month, prior year, or budget — and explains material movements. I apply a dual threshold, e.g. > ₹5L and > 10%, so I focus on genuinely significant swings rather than small-base noise. For each flagged item I go to the line-item detail (FBL3N) to find the actual driver — a specific accrual, reclass, or timing — and state whether it's expected, one-off, or reversing.

Q: What's a control deficiency, and give an example from R2R. A: A deficiency is a control that isn't designed or operating well enough to prevent or detect a material misstatement on a timely basis. Example: a BS reconciliation signed by the same person as preparer and reviewer — that's a segregation-of-duties failure. It escalates from a deficiency to a *significant deficiency* to a *material weakness* depending on the magnitude and likelihood of misstatement it could allow.

Q: How do you evidence a management-review control for SOX? A: The reviewer must show what they actually did, not just that they signed. So: the recon and flux with preparer name/date, an independent reviewer name/date, documented review notes or challenge, and the underlying support (GL export, aging, bank statement) attached. The key SOX expectation is "review with precision" — evidence of the questions asked and items followed up, tied to the RCM control description and frequency.

Practise free

- **Build a flux workbook** from any public company's two consecutive balance sheets (annual report PDFs are free): add Δ₹ and Δ% columns, set a threshold with conditional formatting, and write one commentary paragraph per flagged line — force yourself to hypothesise the *driver* from the notes.
- **Aging drill:** make a fake open-items list with random dates, use `=TODAY()-postingdate` to age them into 0-30/31-60/61-90/>90 buckets with `IF`, and decide an action per bucket.
- **RCM practice:** download the free **COSO 2013 framework** summary and **PCAOB AS 2201** overview; for one process (say, accruals) write 3 risks, 3 controls, and the evidence each would produce. For J-SOX specifics, the Japanese FSA's internal-control standard summaries are public.
- Rehearse the **BS call** out loud: read your commentary in 60 seconds per account as if a controller is challenging you — that's the real test.

The GCC R2R Operating Rhythm: WD Calendar, SLAs, DTP/SOP, RPA

What you'll be able to do

After this chapter you can describe — like someone who has actually sat on the desk — **how an offshore R2R team runs**: the **working-day (WD) close calendar**, the **SLAs and KPIs** you're measured on, how work is documented in a **DTP/SOP**, how requests flow through **ticket queues (ServiceNow)**, how a process gets **transitioned/knowledge-transferred** from an onshore team, and where **RPA bots (UiPath / Automation Anywhere)** fit in. This is the operating-model knowledge that Genpact, Accenture, HP and Cromwell R2R JDs implicitly test — and it's often what separates a candidate who "knows accounting" from one who "can run in a GCC from day one."

The drill — step by step

Step 1 — Learn the WD calendar. Close is measured in **working days from period-end (WD1, WD2…)**, not calendar dates, so it's consistent across months. A typical mid-market R2R close:

Day	Activity
WD-1 (pre-close)	Cut-off comms, ensure sub-ledgers ready, freeze non-essential postings
WD1	Sub-ledger close (AP/AR), accruals raised, FX revaluation (SAP **FAGL_FC_VAL**)
WD2	Intercompany postings & matching, depreciation run (**AFAB**), payroll JE
WD3	GL close, recurring/allocation journals, reclasses
WD4	Reconciliations & flux/BS review
WD5	Management reporting / BPC submission, sign-off, ledger lock

Knowing "I owned WD1–WD2 accruals and FX, WD4 recons" is exactly how you narrate experience in interviews.

Step 2 — Know your SLAs and KPIs. Offshore work is governed by a **Service Level Agreement**. The metrics you're graded on:

KPI	Typical target	What it measures
Timeliness / on-time close	≥ 98% tasks by WD deadline	Did you hit the calendar
Recon completed on time	≥ 95% by due date	Recons signed off
Accuracy / rework rate	≤ 2% error	JEs/recons redone
Aging of open items	↓ trend, nil >90d	Clean-up discipline
Ticket SLA adherence	≥ 95% within SLA	Query turnaround
Auto-cert % (Blackline)	↑ trend	Automation maturity

Step 3 — Work the DTP/SOP. Every task has a **Desktop Procedure (DTP)** / Standard Operating Procedure — a step-by-step doc: purpose, systems, T-codes, screenshots, frequency, upstream/downstream dependencies, and the control point. In a GCC you *work to the DTP and keep it current*; an out-of-date DTP is an audit and transition risk. When you learn a new task you often *write or update* the DTP — that's a concrete deliverable to mention.

Step 4 — Run the ticket queue. Business queries (a cost-centre owner questioning a charge, a vendor mis-posting, a manual JE request) arrive as **ServiceNow tickets** in a shared queue. Drill: pick up ticket → acknowledge within SLA (e.g. 4 business hours) → investigate (FBL3N/FB03) → act or route → document resolution → close. You're measured on **SLA adherence** and **first-time resolution**.

Step 5 — Understand transition / KT. New scope moves offshore through a structured **transition**: **knowledge transfer** (shadowing onshore), **reverse-shadow** (you do it, they watch), **go-live**, then **stabilisation** (hypercare). Deliverables: DTPs signed off, a **RACI**, a cutover plan. Being able to say "I was reverse-shadowed for 3 weeks before taking ownership" signals you understand the model.

Step 6 — Spot the RPA opportunities. Bots (**UiPath, Automation Anywhere, Blue Prism**) handle high-volume, rules-based, no-judgement steps in R2R: downloading bank statements, running recurring uploads, triggering FX/depreciation runs, pulling reports, doing first-pass recon matching, sending reminder emails. You feed the bot a **PDD (Process Definition Document)**. Judgement (why an accrual, is this provision reasonable) stays human. In interviews, framing "I identified the bank-recon download as a bot candidate and wrote the PDD" shows **continuous-improvement** mindset.

Step 7 — Continuous improvement (Kaizen/Lean). GCCs run CI programs — **FTE savings, cycle-time reduction, error reduction**. You're expected to log ideas, sometimes with a **green-belt** framing (DMAIC). A quantified idea ("reduced WD4 recon time 30% by templating the flux") is gold.

The output

A one-page **process ownership summary** (the artefact you'd keep, and effectively narrate in interviews):

Element	Detail
Process	R2R — GL close & BS recons, 12 entities
My WD ownership	WD1 accruals+FX, WD2 IC, WD4 recons/flux
SLA	On-time close 98%, rework ≤2%, ticket SLA 95%
Tools	SAP FICO, Blackline, BPC, ServiceNow, UiPath
DTPs owned	14, all reviewed within 6 months
CI delivered	Bank-recon bot (PDD written) → 8 hrs/month saved
KPI last quarter	Close 100% on-time, aging >90d nil, rework 1.2%

Checks & gotchas

- **WD calendar drives everything** — miss WD2 depreciation and WD3/WD4 cascade; dependencies are unforgiving.

- **SLA green ≠ quality green:** you can hit timeliness while pushing errors downstream — accuracy and aging are the honest metrics.
- **Stale DTPs** are the most common audit/transition finding; "current within 6 months" is a real control.
- **Ticket dumping:** routing a ticket without investigating just resets the clock and tanks first-time-resolution.
- **Over-automating judgement:** bots must not "decide" provisions or approve JEs — that breaks SOX and creates unmonitored risk.
- **Transition risk:** taking scope live before reverse-shadow completes is how errors spike in month one (hypercare exists for a reason).

Interview drill

Q: What does a working-day close calendar look like and why WD not dates? A: Close tasks are scheduled by working days from period-end — WD1 sub-ledger close and accruals, WD2 intercompany and depreciation, WD3 GL close and allocations, WD4 recons and flux, WD5 reporting and lock. We use WD rather than calendar dates because month-ends fall on different weekdays, so WD keeps the sequence and deadlines consistent every month and lets us measure on-time performance apples-to-apples.

Q: How are you measured in a GCC R2R role? A: Against SLAs and KPIs: on-time close (~98% of tasks by their WD deadline), recon completion rate, rework/accuracy (errors kept ≤ ~2%), aging of open reconciling items trending down with nothing over 90 days, and ticket SLA adherence with strong first-time resolution. Quality and clean-up matter as much as speed — you can be on-time but pushing errors downstream, so accuracy and aging keep you honest.

Q: Where does RPA fit in R2R, and where must it not? A: Bots suit high-volume, rules-based, judgement-free steps — statement downloads, recurring uploads, triggering standard runs, first-pass recon matching, reminders — driven by a Process Definition Document. They must not make accounting judgements or give final approval on journals or provisions; that stays human for SOX segregation-of-duties and because judgement isn't rules-based. Good CI is spotting the right bot candidates, not automating everything.

Practise free

- **Draw your own WD calendar** in Excel for a fictional 10-entity group; add a dependency column so you can see what breaks if a day slips. This alone makes you sound experienced.
- **Write one real DTP:** pick a task you know (bank recon, accrual JE), document purpose → systems → steps → control point → frequency, with screenshots. That's a portfolio piece.
- **Simulate a ticket queue:** in a free Trello/Notion board, create 10 mock queries with SLA timers and practise triage/route/close notes.
- **RPA free tier: UiPath Community Edition** and **Automation Anywhere Community** are free — automate downloading a file and dropping data into Excel to genuinely understand bot mechanics. **UiPath Academy** and Automation Anywhere University are free and give shareable certificates.
- Read free **Genpact/Accenture "R2R operating model" and SSC/GBS** whitepapers to absorb the transition/KT/CI vocabulary before you're asked about it.

R2R Interview Drills + T-Code & Close Cheat-Sheet

What you'll be able to do

After this chapter you can sit a real R2R / month-end-close interview and answer the standard rounds without hesitation: **"walk me through month-end," journal-entry and reconciliation questions, GR/IR, accruals vs provisions, a SAP T-code quiz, SOX questions, and a case ("how would you clear an aged open item")**. You'll also have a **one-page cheat-sheet** — key FICO T-codes, the WD close sequence, recon types, SOX terms — to revise the night before. These are the exact question shapes used across Genpact, Accenture, HP, Dentsu and Cromwell R2R panels.

The drill — step by step (Q&A)

Q1 — "Walk me through month-end close."

> "I work a WD calendar. Pre-close I confirm cut-off and sub-ledgers are ready. WD1: AP/AR sub-ledgers close, I raise accruals and run FX revaluation (FAGL_FC_VAL). WD2: intercompany postings and matching, depreciation run (AFAB), payroll JE. WD3: GL close — recurring, allocation and reclass journals. WD4: reconciliations and BS flux/review, clearing aged items. WD5: management reporting / BPC submission, controller sign-off, then I lock the ledger (OB52). Throughout I'm hitting SLAs — on-time close, accuracy, aging."

Q2 — "Accruals vs provisions — difference?"

> "An **accrual** is a known expense incurred but not yet invoiced — timing certain, amount fairly certain (e.g. July electricity used, bill comes August). A **provision** is a liability of uncertain timing or amount recognised because a present obligation is probable and estimable (e.g. warranty, bad-debt/ECL, restructuring — IAS 37). Both increase expense and a liability, but a provision carries genuine estimation uncertainty; an accrual is mostly a timing bridge. Both reverse — the accrual on invoice receipt, the provision on utilisation or reassessment."

Q3 — "What is GR/IR and how do you clear it?"

> "GR/IR (Goods Receipt / Invoice Receipt) is a clearing account in the P2P–GL bridge. On goods receipt: **Dr Inventory/Expense, Cr GR/IR**. On invoice receipt: **Dr GR/IR, Cr Vendor**. When both match, GR/IR nets to zero. A non-zero balance means a mismatch — goods received not invoiced, or invoiced not received, or a quantity/price gap. I analyse it with **MB5S** or **FBL3N**, chase the missing side, and clear via **F.13** (auto-clearing) or **MR11** for genuine GR/IR maintenance write-offs."

Q4 — Journal-entry quiz. "Book a ₹1,20,000 annual insurance paid 1-Jul, and the July expense."

> "On payment: **Dr Prepaid Insurance 1,20,000 / Cr Bank 1,20,000**. Monthly amortisation: **Dr Insurance Expense 10,000 / Cr Prepaid Insurance 10,000** (1,20,000 ÷ 12). By June next year prepaid is nil and full expense is recognised."

Q5 — SAP T-code quiz (rapid fire).

> FB50 — GL document entry; F-02 — general posting; FB03 — display document; FBL3N — GL line items; FS10N — GL balances; FAGL_FC_VAL — foreign currency valuation; AFAB — depreciation run; F.13 — automatic clearing; OB52 — open/close posting periods; F-04 — post with clearing; FBL1N/FBL5N — vendor/customer line items; MIRO — invoice receipt; FBRA — reset cleared items.

Q6 — SOX question. "What makes a good management-review control?"

> "It must be performed with **precision** and **evidenced**: an independent reviewer (not the preparer — segregation of duties), documented review notes/challenge, dated after the close, tied to a control in the RCM, with the underlying support attached. Signing a recon without evidence of what you checked is a deficiency. Deficiencies escalate to significant deficiency and material weakness by magnitude and likelihood."

Q7 — Case. "There's a ₹1,20,000 unidentified bank credit open for 95 days. Clear it."

> "First, investigate — pull the bank line (FBL3N/FF67) and the statement narration; check if it's a customer receipt not applied, a duplicate, a wrong-account posting, or a genuine unknown. I'd match it against open AR (FBL5N) by amount/date and contact the customer/treasury. If it's an unapplied customer receipt, apply it (F-28/F-04). If a mis-post, reclass with a corrected JE. If truly unidentifiable after reasonable effort and below policy threshold, I'd propose a write-off with controller approval and documentation. Then I'd log the root cause — a 95-day aged item usually signals a broken applied-cash process, so I'd fix upstream, not just this line."

Q8 — "Difference between reconciliation and flux?"

> "A **reconciliation** proves a GL balance is *supported* — GL vs sub-ledger/bank/schedule, with reconciling items explained. **Flux** explains the *movement* period-over-period. Recon = 'is this balance real and backed?'; flux = 'why did it change?'. Both are month-end controls; recon is completeness/accuracy, flux is analytical review."

The output — one-page cheat-sheet

Key FICO T-codes

T-code	Use
FB50 / F-02	GL journal entry
FB03	Display document
FBL1N / FBL5N / FBL3N	Vendor / Customer / GL line items
FS10N	GL account balances
FAGL_FC_VAL	Foreign currency revaluation
AFAB	Depreciation run
F.13	Automatic clearing
F-04 / F-28	Post with clearing / incoming payment
FBRA	Reset cleared items
OB52	Open/close posting periods
MIRO / MR11	Invoice receipt / GR-IR clearing
F.01 / S_ALR_87012284	Financial statement / BS report

WD close sequence

WD	Task
WD1	Sub-ledger close, accruals, FX reval
WD2	Intercompany, depreciation, payroll
WD3	GL close, allocations, reclasses
WD4	Reconciliations, BS flux/review
WD5	Reporting / BPC submission, sign-off, lock

Recon types: bank; sub-ledger-to-GL (AP/AR); balance-sheet schedule (accruals, prepaids, provisions, fixed assets); intercompany; suspense/clearing (GR/IR). Categories: *auto-certified* (system-matched) vs *manual*; risk-rated high/medium/low.

SOX terms: RCM (Risk & Control Matrix); preventive vs detective control; management-review control; segregation of duties; preparer/reviewer sign-off; control evidence; deficiency → significant deficiency → material weakness; J-SOX (Japan), SOX 404.

Accruals vs provisions: accrual = timing (incurred, not invoiced); provision = uncertain timing/amount (IAS 37, probable + estimable).

Checks & gotchas

- **Don't recite T-codes without the journal logic** — panels probe "what does F.13 actually clear?" Know the postings behind the code.
- **GR/IR direction** trips people: goods first credits GR/IR, invoice debits it — get the Dr/Cr the right way round.

- **Never say "I'd just write it off"** on the aged-item case — investigate first, write-off is last with approval.
- **Segregation of duties** is the SOX answer graders wait for — say it explicitly.
- **Reversal:** every accrual/provision answer should mention *when it reverses* — omitting it reads as shaky.

Interview drill (meta)

Q: What's the single most common R2R interview opener and how long should your answer be? A: "Walk me through month-end close." Keep it 60–90 seconds, structured by WD, and name the controls (recon, flux, sign-off, lock) and one or two T-codes — enough to show you've done it without narrating every keystroke.

Q: How do you show seniority beyond just doing tasks? A: Tie your work to metrics and improvement — "close 100% on-time, aging nil >90 days, rework 1.2%, and I automated the bank-recon download saving 8 hours a month." That shifts you from processor to owner.

Practise free

- **Flashcard the T-code table** (Anki) — cover the "Use" column and recall the code, then reverse it.
- **Mock the "walk me through close"** out loud on a 90-second timer until it's smooth; record yourself.
- **JE drills:** invent 10 scenarios (prepaid, accrual, provision, FX gain, depreciation, GR/IR clearing) and write the double entry cold; check against a free ICAI/accounting-basics reference.
- **SAP T-codes without SAP:** the public **SAP Help Portal** and **SAP Learning Hub free tier** describe every T-code's screen and fields; read the FBL3N and F.13 pages so you can talk them convincingly.
- **Pull real interview questions** from Genpact/Accenture threads on Glassdoor/AmbitionBox (free) and answer each in writing, then out loud — the aged-item case and accruals-vs-provisions come up almost every time.